Date	Particulars	L.F.	Debit ₹	Credit ₹
2018 Dec. 31	Velan's capital A/c Dr. To Interest on drawings A/c (Interest on drawings charged)		1,500	 1,500
,,	Interest on drawings A/c Dr. To Profit and loss appropriation A/c (Interest on drawings account closed)		1,500	 1,500

Illustration 12

Arun is a partner in a partnership firm. As per the partnership deed, interest on drawings is charged at 12% p.a. During the year ended 31st December 2018 he drew as follows:

Date	₹
March 1	6,000
June 1	4,000
September 1	5,000
December 1	2,000

Calculate the amount of interest on drawings.

Solution

Interest on drawings = Amount of drawings x Rate of interest x Period of interest

Withdrawal on March 1 $= ₹\ 6{,}000 \times \frac{12}{100} \times \frac{10}{12} = ₹\ 600$

Withdrawal on June 1 $= ₹\ 4{,}000 \times \frac{12}{100} \times \frac{7}{12} = ₹\ 280$

Withdrawal on September 1 $= ₹\ 5{,}000 \times \frac{12}{100} \times \frac{4}{12} = ₹\ 200$

Withdrawal on December1 $= ₹\ 2{,}000 \times \frac{12}{100} \times \frac{1}{12} = ₹\ 20$

Total interest on drawings = ₹ 1,100

Illustration 13

Arul is a partner in a partnership firm. As per the partnership deed, interest on drawings is charged at 12% p.a. During the year ended 31st December 2018 he drew as follows:

12th-Accountancy-Unit-03.indd 98 12/9/2021 10:49:23 PM